Investment Memo

Ultragenyx Pharmaceutical (NASDAQ: RARE) | Hold | PT: $20.47 | May 2026

Bruin Biotech Investing

Snapshot

Ticker	**RARE**
Share Price	**$23.95**
Market Cap	**$2.3B**
Enterprise Value	**~$1.8B**
Cash Runway	**~2.7 quarters**
Price Target.	**$20.47**
Upside	**~3%**

Management

CEO	**Emil Kakkis, M.D., Ph.D.**
CFO	**Howard Horn**
CMO	**Eric Crombez, M.D.**

Catalysts

Aug 23, 2026	**DTX401 PDUFA**
Sep 19. 2026	**UX111 PDUFAAUFA**
H2 2026	**ASPIRE Ph 3 topline**
2027	**Ionis ION582 Ph3 data**

Scenarios (12-month)

Bull (20%)	**$42**
Base (80%)	**$15**
Prob.-weighted	**$20.47**

Key Risks

- **Clinical:** Placebo drift in ASPIRE; 90% of alpha rides on Bayley-4.
- **Regulatory:** UX111 approval hinges on fixing the July 2025 manufacturing CRL.
- **Financing:** $197M quarterly burn vs. $534M cash; a raise is likely either way.
- **Royalty overhang:** $1.2B OMERS / RPI liabilities, ~$80–90M a year.

Investment Thesis

We rate Ultragenyx a **HOLD** with a price target of **$20.47**, implying ~3% upside. The stock's upside hinges on GTX-102's Phase 3 ASPIRE readout in H2 2026, and the market is underweighting how much the trial design favors a miss, while the balance sheet limits how much the commercial business can carry.

- **Open-label data may not translate:** The ~11-point Bayley-4 gain in Phase 1/2 was measured against natural-history controls, not sham; pediatric Angelman placebo gains run 2–5x Ultragenyx's +1.2-point assumption, and prior Angelman RCTs are 0 for 4.
- **Upside is capped by competition:** Ionis' ION582 (REVEAL Phase 3 data in 2027) overlaps GTX-102's launch window, cutting the bull case from ~$55 to ~$42.
- **Balance sheet is stretched:** $534M in cash against a $197M Q1 burn gives ~2.7 quarters of runway, and $1.2B in OMERS / RPI royalty liabilities costs ~$80–90M a year.

Company & Pipeline

Ultragenyx is a commercial-stage biotech focused on rare and ultra-rare genetic diseases. Four approved products (Crysvita, Dojolvi, Evkeeza, Mepsevii) generate ~$136M per quarter, with Crysvita ~67% of sales; the pipeline centers on AAV gene therapy and antisense oligonucleotides.

- **GTX-102 (apazunersen):** Intrathecal ASO that unsilences paternal UBE3A for Angelman syndrome; Phase 3 ASPIRE (n=129, 48-week, sham-controlled), topline H2 2026. Breakthrough and Orphan designations, with 3+ years of durability data in 74 Phase 1/2 patients.
- **DTX401 / UX111:** One-time AAV gene therapies for GSDIa and MPS IIIA under Priority Review, with PDUFAs on Aug 23 and Sep 19, 2026. UX111 was resubmitted after a July 2025 manufacturing CRL.

Market & Competition

Angelman syndrome affects ~60,000 patients in developed markets (~42,000 with the deletion genotype ASPIRE enrolls), and no therapy treats the underlying disease. GTX-102 would likely be first to market, but Ionis' ION582 targets the same mechanism and trails by about a year.

Company / Asset	Stage	Key Difference
Ultragenyx – GTX-102	Phase 3	ASO; ~11-pt Bayley-4 gain (open-label)
Ionis – ION582	Phase 3	ASO; data 2027; Biogen passed on license
Supportive care	Approved	Symptomatic only; not disease-modifying

Bottom Line

Ultragenyx has a real commercial base and two 2026 PDUFAs, but the stock is a binary bet on a trial whose design favors placebo noise, with competition capping the win and a funding need on either outcome. Our **$20.47** target adds GTX-102's risk-adjusted DCF to the current price; until ASPIRE reads out, we rate it a **HOLD**.